AI-Enhanced ESG Reporting: Research Impact & Commercial Opportunity

Market Assessment & Positioning

Executive Summary

This research validates the commercial viability of **AI-assisted ESG reporting for SMEs**. Market opportunity is significant (£500M+ UK-focused), regulatory tailwinds are strong (IFRS S1/S2, CSRD), and SME demand is growing (supply chain pressure + regulatory compliance).

Key Finding: AI can generate reasonable draft reports; professional advisor review adds 30-40% credibility value. Commercial model: advisor-led distribution or direct SME platform.

Market Opportunity

Current Market State

- **60% of UK SMEs** don't produce ESG reports (cost barrier, expertise gap, framework confusion)
- **Regulatory pressure:** IFRS S1/S2 adoption (global), CSRD expansion (EU), supply chain ESG audits (customer-driven)
- **Cost barrier:** Professional ESG advisory £5-15k per SME
- **Fragmented advisory:** No standard tools; mostly manual work by accountants/consultants

Market Demand Signals

✅ Regulatory compliance pressure (HMRC/FCA guidance imminent)
✅ Supply chain ESG audits (customers demanding SME suppliers report)
✅ Investor pressure (ESG as financial risk factor)
✅ Competitive pressure (larger suppliers raising bar)
✅ Talent cost (ESG advisory expertise expensive, scarce)

Market Size

Segment	Addressable Market
UK SMEs	~3.3M companies

Contact & Next Steps

For investors/partners interested in:

- Series A funding
- Advisor partnerships
- Platform integrations
- Research collaboration

Contact:

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- Meeting: Available for exploratory discussion